

Several index funds are available that track the Barclays Capital U.S. Aggregate Bond Index. I recommend using one of these funds as the cornerstone of your fixed-income portfolio. A list of index funds can be found at the end of this chapter.

The Barclays Capital U.S. Aggregate Bond Index has many subindexes. One way the indexes are categorized is by maturity. The category with the shortest average maturity is the Barclays 1–3 Year Short-Term Government/Credit Index, which includes government and corporate bonds but no mortgages. The next category of maturities is the Barclays Intermediate-Term Government/Credit Index. The category with the longest maturity is the Barclays Long-Term Government/Credit Index.

You can adjust the interest-rate risk in your portfolio by using a combination of a total bond market index fund and one of the three subindexes based on maturity. For example, investors with a short-term investment horizon of five years or less should probably have a generous portion in a short-term bond index fund benchmarked to the Barclays 1–3 Year Short-Term Government/Credit Index. Investors who are retired and are withdrawing money annually may want to have at least one year's worth of withdrawals in the short-term fund.

ADDING OTHER FIXED-INCOME SECURITIES

A diversified fixed-income portfolio is not limited to the investment-grade bonds in the Barclays Capital U.S. Aggregate Bond Index. There are diversification benefits to be gained from other fixed-income securities. Those categories could include high-yield corporate bonds, TIPS, and foreign bonds, including emerging market debt. The following section looks at these sectors.

High-Yield Corporate Bonds

High-yield bonds are often referred to as non-investment-grade bonds, speculative-grade bonds, and junk bonds. Unlike investment-grade bonds, high-yield bonds have credit ratings that are in the lowest tier. They have S&P and Fitch ratings of BB or lower and Moody's ratings of Ba or lower.

Several entities issue high-yield bonds, including corporations, municipalities, and foreign governments. As a group, these securities are